VIBRANA

AI Transformation

Optimism vs. Reality

What the better-documented research says about the gap between AI adoption and AI value, and what the organizations getting value do differently.

56%

of CEOs have seen neither higher revenue nor lower costs from AI (PwC, 2026)

37%

of respondents attribute any EBIT impact to AI (McKinsey, 2026)

26%

of companies have moved beyond proofs of concept to extract value (BCG, 2024)

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Executive Summary

Most organizations now use AI somewhere. Far fewer can point to a result in their financials. This paper sets out what the better-documented research says about that gap, and what the organizations getting value do differently.

THE OPPORTUNITY

Measured gains in real work

Among 5,172 customer support agents, access to a generative AI assistant raised issues resolved per hour by 15% on average (Brynjolfsson, Li and Raymond). In a randomized experiment, BCG consultants using GPT-4 on tasks within AI's capability completed 12.2% more tasks, 25.1% faster, at significantly higher quality (Dell'Acqua et al.).

THE REALITY

56% of CEOs see neither revenue nor cost benefit

In PwC's 2026 Global CEO Survey, 56% say their company has seen neither higher revenues nor lower costs from AI, and only one in eight (12%) report both. In McKinsey's 2026 survey, 37% of respondents attribute at least some EBIT impact to AI, about the same share as the year before.

THE DIVIDE

About 6% are AI high performers

McKinsey counts about 6% of its 2026 respondents as AI high performers. Nearly three-quarters of them report fundamentally redesigning workflows because of their AI use, against one-quarter of other respondents.

FOUR QUESTIONS THIS PAPER ANSWERS

- What is actually working, and where is the evidence strongest?
- Why do initiatives fail? What gets in the way, and what do the organizations getting value do differently?
- What operating models drive scale? How should enterprises structure governance, teams, and workflows to move from pilots to production?
- Where to start? A phase-based approach to assess readiness, pick a first workflow, and execute with discipline.

1 Framing AI Transformation

1.1 What 'AI Transformation' Means

AI transformation is the redesign of business processes, workflows, and operating models to embed AI decision-making, automation, and augmentation into core functions. It differs materially from automation, analytics modernization, and GenAI copilots.

True AI Transformation Involves:

- Workflow redesign: Reimagining processes end-to-end, not bolting AI onto existing steps
- Organizational integration: Embedding AI into daily operations, not experimental silos
- Decision democratization: Enabling faster, data-driven decisions at scale
- Continuous learning loops: Building systems that adapt based on outcomes

1.2 Maturity Models

There is no single standard maturity model. The matrix on the next page is Vibrana's working model, a way to place an organization across six dimensions; it is not research. For where organizations actually stand: BCG found that of the 98% of companies at least experimenting with AI, only 26% had developed the capabilities to move beyond proofs of concept and begin extracting value, and only 4% were at the forefront. McKinsey counts about 6% of its 2026 respondents as AI high performers.

AI Maturity Model Matrix (Vibrana's working model)

DIMENSION	NASCENT (1)	EMERGING (2)	DEVELOPING (3)	ADVANCED (4)	OPTIMIZED (5)
Strategy	Ad hoc exploration	Pilot programs identified	Business case defined	Aligned roadmap	Transformation north star
Data	Fragmented silos	Partial integration	Quality standards emerging	Governed architecture	Real-time, lineaged, auditable
Talent	Few AI specialists	Team forming	Training programs launched	Centers of Excellence	Embedded AI literacy
Governance	None	Reactive policies	Frameworks drafted	Embedded controls	Autonomous with oversight
Technology	Manual tooling	Select platforms	Integrated stack	Scalable infrastructure	Agentic autonomous systems
Outcomes	Learning only	Pilots showing promise	Early use cases in production	Impact measured in some areas	Impact measured company-wide

26%

Of companies past proofs of concept, extracting value (BCG, 2024)

~6%

Of respondents are AI high performers (McKinsey, 2026)

2 The Promise: What AI Delivers

2.1 Measured Productivity Impacts

The strongest evidence on productivity comes from controlled studies of specific jobs, not from surveys of expectations. Two of the best documented:

Customer Service

15% More issues resolved per hour, on average, among 5,172 customer support agents given a generative AI assistant. Gains varied widely: the most skilled agents saw minimal gains and a small drop in conversation quality (Brynjolfsson, Li and Raymond, 2023)

Knowledge Work

25.1% Faster task completion for BCG consultants using GPT-4 on 18 realistic consulting tasks within AI's capability; they also completed 12.2% more tasks, at significantly higher quality. On a task chosen to sit outside AI's capability, AI users were 19% less likely to get the right answer (Dell'Acqua et al.)

Which Use Cases Deliver Value First? (Vibrana's working model)

High-Velocity Wins

Weeks 1-3

- FAQ automation & customer self-service
- Email/document classification & routing
- Routine report generation
- Meeting summaries & action item extraction

Quick Wins

Months 1-3

- Customer service agent assist (15% more issues resolved per hour in one field study)
- Demand forecasting (supply chain optimization)
- Compliance document review
- First-level customer support automation

Medium-Term Value

Months 3-6

- Complex document processing (contracts, claims)
- Predictive maintenance (manufacturing)
- Personalization engines (retail, media)
- Supply chain network optimization

Strategic/Transformational

Months 6-18+

- Core process automation (end-to-end workflows)
- New product lines powered by AI

3 The Reality: Why Most Initiatives Fail

3.1 What the Failure Numbers Measure

The most quoted figure, that 95% of organizations are getting zero return on generative AI, comes from MIT NANDA's preliminary 2025 report, The GenAI Divide. Its method is a review of 300+ publicly disclosed AI initiatives, structured interviews with representatives of 52 organizations, and a survey of 153 senior leaders at four industry conferences. The authors describe their figures as directionally accurate, so treat the 95% as a provocation, not a measurement. Larger surveys find a smaller but still wide gap, and each one measures something different:

56%

Of CEOs saw neither higher revenue nor lower costs from AI (PwC, 2026, 4,454 CEOs)

37%

Of respondents attribute at least some EBIT impact to AI (McKinsey, 2026)

26%

Of companies have moved beyond proofs of concept to extract value (BCG, 2024)

95%

Of organizations getting zero return, per MIT NANDA (preliminary; directional)

3.2 What Gets in the Way

Where the research looks at causes, it points at people and process far more often than at technology.

BARRIER	WHAT THE RESEARCH FOUND	SOURCE
Organizational, not technical	Executives cite data security, hallucinations and unproven ROI as barriers, while only 4% cite lack of executive support. Bain's read: "The most prominent barriers to AI adoption today are organizational, not technical."	Bain & Company, 2026
People and process	About 70% of the challenges companies face implementing AI relate to people and process, about 20% to technology, and only 10% to AI algorithms.	BCG, 2024
Resistance to new tools	In a survey of executive sponsors and frontline users at 52 organizations, resistance to adopting new tools was rated the most frequent barrier to scaling gen AI pilots.	MIT NANDA, 2025

"Learning Gap" vs. "Model Gap": The Core Issue

MIT NANDA concludes that the divide does not seem to be driven by model quality or regulation, but by approach. It names the learning gap as the primary factor keeping organizations from value.

INDUSTRY BELIEF

The problem is model quality, so we need better models.

REALITY

The problem is a learning gap: tools that don't learn, integrate poorly, or match workflows.

WHAT CLOSES THE GAP

- Embedding AI into actual workflows (not sandbox testing)
- Collecting and acting on feedback loops
- Continuous retraining on domain-specific data
- Human-in-the-loop validation and learning

4 Operating Models & Governance

4.1 AI Readiness Framework

Vibrana's working model: the same six dimensions as our 24-question assessment. Published evidence is cited where it exists.

1. **Leadership & Strategy**
   Clear C-suite mandate for AI, and a structured way to choose use cases
   AI high performers are twice as likely as others to say their senior leaders demonstrate commitment to AI initiatives (McKinsey, 2026)

2. **Data Readiness**
   Clean, accessible, governable data that the chosen workflows actually need

3. **Technology Infrastructure**
   Cloud-native or hybrid deployment capability, with monitoring for AI in production

4. **Talent & Capability**
   Your own domain experts, data skills, and change champions

5. **Governance & Responsible AI**
   Clear ownership, bias testing, explainability standards, and audit trails

6. **Culture & Change Readiness**
   People willing and able to change how they work, with support to do it
   Resistance to adopting new tools was rated the most frequent barrier to scaling gen AI pilots (MIT NANDA, 2025)

5 Implementation Roadmap

5.1 Phased Implementation (Vibrana's working model)

Start from one workflow. Out of 25 organizational attributes McKinsey tested, the redesign of workflows had the biggest effect on whether an organization saw EBIT impact from gen AI. The phases below are how Vibrana sequences that work; the week ranges are planning assumptions, not research. Each phase ends in a go/no-go decision, and you can stop at any of them.

Discover & Assess

Weeks 1-8

- Conduct an AI readiness audit across the six dimensions
- Interview the leaders who own the target workflows
- Map current state maturity and identify quick wins

Deliverable: AI Readiness Report with gap analysis and prioritized initiatives

Prioritize Use Cases

Weeks 5-12

- Score the candidate use cases on Impact, Feasibility, Risk
- Apply ICE scoring: Impact x Confidence / Effort
- Select 2-3 pilot use cases for quick wins

Deliverable: Prioritized AI roadmap with 18-month horizon

Prototype & Proof

Weeks 8-20

- Build minimum viable prototype for Pilot #1
- Establish baseline metrics and success criteria
- Run 4-8 week pilot with real users and real data

Deliverable: Pilot results, lessons learned, go/no-go decision

Productionize

Weeks 16-32

- Harden solution for production: MLOps, monitoring, governance
- Implement model risk management (version control, bias testing)
- Conduct security review and regulatory sign-off

Deliverable: Production deployment with ongoing monitoring

Scale

Months 6-18

- Expand only where a pilot beat its baseline; stop where it did not
- Roll out to additional functions/geographies
- Hand over reusable components and playbooks to your team

Deliverable: Production use cases your team owns and runs

6 High Performers vs. the Rest

6.1 What AI High Performers Do (About 6% of McKinsey's Respondents)

WHAT THE RESEARCH SHOWS

+ Nearly three-quarters report fundamentally redesigning workflows because of their AI use, up from 55 percent the year before. Just one-quarter of other respondents do (McKinsey, 2026).
+ Twice as likely as others to say their senior leaders demonstrate commitment to AI initiatives (McKinsey, 2026).
+ Twice as likely to report that their organizations have defined processes to measure the impact of AI initiatives (McKinsey, 2026).

6.2 The Pattern When AI Stalls (Vibrana's working model)

- AI viewed as a tool to optimize existing processes (cost reduction first)
- Pilots remain disconnected from workflows; never embedded operationally
- No clear business case; impact unclear or not measured
- Governance absent or reactive
- Leaders not visibly championing AI

7 Critical Success Factors

Eight factors that separate AI programs that scale from those that stall. Where published research supports a factor, the evidence line cites it. The rest are Vibrana's working model and are labeled that way.

1 Workflow Redesign (Not Automation)

Fundamental rethinking of how work gets done, not bolting AI onto rigid processes.

Evidence: Of 25 attributes McKinsey tested, the redesign of workflows had the biggest effect on whether organizations saw EBIT impact from gen AI (McKinsey, 2025).

2 Executive Ownership

C-suite actively championing AI, not delegating to IT.

Evidence: AI high performers are twice as likely as others to say their senior leaders demonstrate commitment to AI initiatives (McKinsey, 2026).

3 Ambitious Goals

Treating AI as a transformation lever, not only an efficiency tool.

Evidence: Vibrana's working model.

4 Data Readiness

Clean, accessible, governed data for the workflows you are changing.

Evidence: Vibrana's working model.

5 Embedded Governance

Governance integrated into design, not retrofitted post-deployment.

Evidence: Vibrana's working model.

6 Rapid Iteration

Short cycles from prototype to real users, so the team learns what works before scaling it.

Evidence: Vibrana's working model.

7 Cross-Functional Collaboration

Clear ownership; teams aligned on business objectives across functions.

Evidence: Vibrana's working model.

8 Continuous Learning

Organizations that capture feedback, retrain models, and iterate.

Evidence: MIT NANDA names the learning gap, tools that don't learn, integrate poorly, or match workflows, as the primary factor keeping organizations from value (2025).

8 AI Readiness Diagnostic

A checklist for a leadership team to talk through, grouped by the same six dimensions as Vibrana's 24-question readiness assessment. It is a conversation aid, not a scored test. For a scored version, take the assessment at vibrana.ai/ai-transformation/assessment.

Dimension 1: Leadership & Strategy

- Clear C-suite mandate for AI transformation?
- Explicit business outcomes defined?
- High-impact use cases identified, prioritized, and owned by the business?

Dimension 2: Data Readiness

- Critical business data consolidated in an accessible repository?
- Data quality standards defined and enforced?
- Data lineage and metadata tracked?

Dimension 3: Technology Infrastructure

- MLOps platform in place?
- Cloud or hybrid infrastructure capable of scale?
- Security/compliance tooling integrated?

Dimension 4: Talent & Capability

- Data engineers and ML practitioners on staff?
- Change champions embedded in business units?
- Leadership's AI literacy?

Dimension 5: Governance & Responsible AI

- AI governance policy documented and enforced?
- Bias detection and mitigation processes?
- Regulatory compliance framework?

Dimension 6: Culture & Change Readiness

- Change management plan documented?
- Employee AI trust / adoption readiness?
- Workforce reskilling program in place?

9 Governance & Compliance Checklist

Before deploying any AI system to production, enterprises should validate the following.

Data & Model Risk

- [ ] Data sourced and validated for accuracy, recency, and freedom from bias
- [ ] Model trained on representative data (demographics, geographies, edge cases)
- [ ] Bias testing completed (disparate impact analysis for protected groups)
- [ ] Model explainability validated (can business explain why decision X was made)
- [ ] Model documentation complete (architecture, training data, performance benchmarks)
- [ ] Monitoring in place (accuracy drift, fairness drift, data drift detection)

Security & Privacy

- [ ] Model protected against prompt injection, adversarial inputs, poisoning
- [ ] Data encrypted at rest and in transit
- [ ] Access controls restrict model/data access by role and function
- [ ] Audit logs capture who accessed what, when
- [ ] Data retention policy defined (especially for training data)

Regulatory & Compliance

- [ ] Legal review completed (liability, IP ownership, data usage rights)
- [ ] EU AI Act compliance assessed (if applicable)
- [ ] GDPR compliance validated (right to explanation, data minimization)
- [ ] Sector-specific regulations addressed (HIPAA, SOX, AML, etc.)
- [ ] Insurance/indemnification in place for third-party models

Operational & Change Management

- [ ] Business owner assigned with clear accountability
- [ ] SLAs defined (uptime, latency, accuracy thresholds)
- [ ] Escalation path clear (what happens if model fails)
- [ ] User training completed; adoption plan tracked
- [ ] Rollback plan documented (how to revert if issues arise)

AI Transformation: Myth vs. Truth

MYTH

"Better AI models solve the failure problem"

TRUTH

MIT NANDA finds the divide is driven by approach, not model quality. The gap is learning: tools that don't learn, integrate poorly, or match workflows.

MYTH

"AI adoption is a tech problem"

TRUTH

BCG puts about 70% of AI implementation challenges in people and process, about 20% in technology, and only 10% in the algorithms. Treat it as organizational change, not software deployment.

MYTH

"ROI will be obvious once deployed"

TRUTH

Define baselines and success metrics before launch. AI high performers are twice as likely as others to report defined processes to measure the impact of AI initiatives (McKinsey, 2026).

Conclusion

The research cited here agrees on more than it disagrees. Value from AI that shows up in the financials is still a minority result: PwC, McKinsey and BCG each find this, measured three different ways.

The causes they point to are mostly people and process. BCG puts about 70% of implementation challenges there. Bain calls the most prominent barriers organizational, not technical. MIT NANDA names the learning gap and resistance to new tools.

The organizations getting value redesign workflows, have senior leaders who visibly commit, and measure impact. The practical starting point is one workflow, redesigned with the people who do it, with a baseline measured before anything changes.

How Vibrana works: our builders sit alongside your team, not in place of it. The aim is more capacity and wider scope for the people who do the work, not fewer people. Your team owns and runs what is built after handover.

References & Data Sources

PwC

"PwC's 29th Global CEO Survey: Leading through uncertainty in the age of AI"

January 2026. Survey of 4,454 chief executives across 95 countries and territories.

McKinsey & Company

"The state of AI in 2026: On the road to ROI"

August 2026. Online survey of 1,719 participants in 97 nations, May to June 2026.

McKinsey & Company

"The state of AI: How organizations are rewiring to capture value"

March 2025. Online survey of 1,491 participants in 101 nations, July 2024.

Boston Consulting Group

"Where's the Value in AI?"

October 2024. Survey of 1,000 CxOs and senior executives across 20+ sectors and 59 countries.

MIT NANDA (Project NANDA, MIT Media Lab)

"The GenAI Divide: State of AI in Business 2025"

July 2025, preliminary findings (v0.1). Review of 300+ publicly disclosed AI initiatives, structured interviews with representatives of 52 organizations, survey of 153 senior leaders.

Bain & Company

"The AI-Native Enterprise: Absorption Is the New Advantage (Technology Report 2026)"

September 2026. Bain client experience and the Bain GenAI Survey 2026.

Erik Brynjolfsson, Danielle Li, Lindsey Raymond (NBER)

"Generative AI at Work"

April 2023, NBER Working Paper 31161; published in the Quarterly Journal of Economics (2025). Field study of 5,172 customer support agents.

Fabrizio Dell'Acqua et al. (Organization Science)

"Navigating the Jagged Technological Frontier: Field Experimental Evidence of the Effects of AI on Knowledge Worker Productivity and Quality"

First circulated 2023 as HBS Working Paper 24-013. Preregistered randomized experiment with 758 BCG consultants.

Where Does Your Organization Stand?

The next step is mapping your own readiness risks. If you then want to build, a sprint has a fixed price, scope and end date agreed before it starts, from $10,000, and you own what we build.

Take the Readiness Assessment

vibrana.ai/ai-transformation/assessment

The Free Readiness Assessment Includes:

- 24 self-reported questions
- Six readiness dimensions
- A personalized discussion report
- No obligation to enter a transformation engagement

A structured conversation aid, not a validated prediction.